SHEET 1 OF 7 · COVER

The Colorado wildfire mitigation tax credit, and how a homeowner actually gets the money.

Everything the crew needs to explain the credit at a door, plus the paperwork a homeowner has to hold to claim it. Four fill-in client forms print separately and go on the back of this section.

WHY THIS NOTEBOOK EXISTS

Four parties will pay toward wildfire mitigation in Colorado and most homeowners know about none of them. The state's own 2026 evaluation of this credit found **fewer than half** of the landowners and contractors it surveyed had heard of it before the survey asked, and about **450 people in the entire state** claimed it in tax year 2023.

Every competitor sells the work. The paperwork is what Sixfold can offer on day one without a single certification.

What is in this notebook

SHEET	TITLE	USE IT FOR
2	Who qualifies	The owner, and the land
3	What work counts, and what it costs	The four measures, and the disqualifiers
4	The money, tax year by tax year	Naming the right number for the right year
5	How a homeowner claims it	Handing off to their accountant
6	What Sixfold may and may not say	Crew briefing. Read before canvassing
7	Sources, and what is still open	Checking a claim before repeating it

CLIENT FORMS — PRINTED SEPARATELY, ONE SET PER JOB

FORM	TITLE	WHO FILLS IT IN
A	Landowner eligibility record	Homeowner, at the walk
B	Work record and qualifying cost breakdown	Sixfold, at completion
C	Homeowner's claim file checklist	Homeowner, keeps it
D	Photograph log	Sixfold crew lead

THE LINE THAT DOES NOT MOVE

Sixfold does not give tax advice, does not certify work, and does not file anyone's return. We supply an itemised invoice, a written scope, and before-and-after photographs. What a homeowner qualifies for is a question for their accountant, and the answer to any version of "will I get the money?" is that we cannot tell them. Saying otherwise loosely reads as tax preparation, which Sixfold is not registered for.

Internal working document. Figures verified against enacted Colorado statute and Colorado Department of Revenue guidance as of 21 August 2026 — see sheet 7. Not tax advice.

SHEET 2 OF 7 · ELIGIBILITY, PART ONE

Who qualifies: the owner, and the land

Three tests have to pass at once — the right person, the right work, the right cost. The first is on this sheet; the other two are on sheet 3. Any one of them failing kills the claim.

Test 1 — the right person

The credit goes only to a **landowner who is an owner of record of private land in Colorado**. The interest can be held solely, jointly, or in common, and it does not have to be a fee interest.

INTEREST HELD	QUALIFIES?
Fee interest	Yes — absolute, unconditional ownership.
Easement or right-of-way	Yes — a non-possessory interest still counts.
Lease	Yes, **provided evidence of the lease is properly recorded**. A lessee is a landowner for this purpose; so is the lessor.
Publicly owned land	**No — never**, regardless of any easement, right-of-way or lease held on it.
A neighbour's land	**No**, even where the work protects your own property, unless you hold a qualifying interest in their land.

ONLY ONE PERSON CLAIMS – GET THIS ON FORM A

- **Tenants in common or joint tenants:** the credit is allowed to **only one individual** of the ownership group. They have to decide which.
- **Filing a joint return:** the total credit on that return cannot exceed the annual cap. Two people do not get two caps.
- **Able to file jointly but filing separately:** only one of the two may claim it.
- **Land owned by an LLC, partnership or S corporation:** generally **no**. There is a narrow exception in Department of Revenue guidance where a dwelling on the land is designated for residential occupancy and the entity is under the income limit — but see the open question on sheet 7 before relying on it. Send this one to their accountant.

The three questions that settle it at the door

- **Are you on the deed?** Owner of record, or a recorded lease, easement or right-of-way. If they are a tenant on an unrecorded arrangement, the answer is no.
- **Is anyone else on the deed with you?** If yes, one of them has to be the one who claims — worth deciding before the invoice is made out.
- **Is any grant or programme money paying for part of this?** If yes, that share is out. They can still claim on what they pay themselves.

WHEN THE ANSWER TURNS OUT TO BE NO

The credit failing does not make the job wrong. **The insurance channel has no income limit and no ownership test** — since 1 July 2026 any Colorado policyholder whose insurer uses a wildfire risk score is entitled to the annual disclosure and to a discount for documented mitigation. Everyone gets the photographs and the written scope regardless. What we do not do is hunt for a way to make the credit work: if it does not, say so plainly and move to the part that does.

Source: C.R.S. 39-22-543 as amended by HB26-1289; Colorado Department of Revenue, *Income Tax Topics: Wildfire Mitigation Measures.* Not tax advice.

SHEET 3 OF 7 · ELIGIBILITY, PART TWO

What work counts, and what it costs

Tests two and three. The one that fails most often is the third — a cost that somebody else's money already paid for.

Test 2 — the right work

Qualifying wildfire mitigation measures are these four activities, and only these four, **so long as they meet or exceed the applicable standards of the Colorado State Forest Service or the Division of Fire Prevention and Control**:

- Creation of a **defensible space** around structures
- Establishment of **fuel breaks**
- **Thinning of woody vegetation** for the primary purpose of reducing risk to structures from wildland fire
- **Secondary treatment of woody fuels** by lopping and scattering, piling, chipping, removing from the site, or prescribed burning

From tax year 2027 a fifth, separate and narrower category is added — **infestation mitigation measures**, meaning thinning of woody vegetation at risk of, or killed by, **mountain pine beetle or spruce beetle**, again to Forest Service standards.

AN ERROR OUR OWN FILES USED TO CARRY

The marketing plan and the market research file both said, until 2 October 2026, that the 2027 amendment "added thinning woody vegetation as qualifying work." **It did not.** Thinning has qualified since well before. What the amendment adds is the beetle category above, which is narrower and is not Sixfold's core service. Do not repeat the old line.

Test 3 — the right cost

The credit is calculated on the **actual out-of-pocket expense incurred and paid by the landowner, documented by receipt**, for hiring a third-party contractor. Since August 2024 doing it yourself does not count.

THESE COSTS DO NOT QUALIFY

- The **purchase price of any property**, whether or not it is used to do the work
- **Purchase or rental of equipment** for the landowner's own use
- **Inspection or certification fees**
- **In-kind contributions and donations** of time, labour, materials or equipment, in either direction
- **Cost sharing** — neighbours splitting the bill for a contractor cannot claim the shared costs
- Any cost **paid from, or reimbursed by, a grant or incentive**

THE PRACTICAL CONSEQUENCE FOR US

Grant and cost-share money and the tax credit **do not stack on the same dollar**. A homeowner who gets half a job reimbursed by a county programme can only claim the credit on the half they paid themselves. Never pitch the two as additive.

Source: C.R.S. 39-22-543 as amended by HB26-1289; Colorado Department of Revenue, *Income Tax Topics: Wildfire Mitigation Measures.* Not tax advice.

SHEET 4 OF 7 · THE NUMBERS

The money, tax year by tax year

The cost counts in the tax year the homeowner *pays* it, not the year the saw ran. A December job paid in January is a next-year claim.

TAX YEAR	INCOME LIMIT	PERCENTAGE	CAP	EXCESS OVER WHAT YOU OWE
2023	$120,000 FTI	25%	$625	Lost
2024	$126,300 FTI	25%	$625	Lost
2025	$129,200 FTI	100%	$1,000	Lost
2026	Not yet published	100%	$1,000	Lost
2027	$300,000 AGI	100%	$2,000	Refunded to you
2028–2030	$300,000 AGI, indexed	100%	$2,000	Refunded to you

WHAT "LOST" MEANS, AND WHY IT MATTERS AT THE DOOR

Through tax year 2026, if the credit is larger than the state tax the homeowner owes, **the remainder is neither refunded nor carried forward.** A $1,000 credit against a $600 Colorado tax bill is worth $600; the other $400 disappears. From tax year 2027 that flips — the excess still cannot be carried forward, but it **is refunded**, paid out even if they owe no state tax at all.

TWO LIVE CONFLICTS IN THE PUBLISHED SOURCES — KNOW WHICH ONE WINS

- **The Department of Revenue guidance page is stale.** Its table still shows tax year 2027 at $1,000 with a "TBD" income limit. The enacted statute sets 2027 at $2,000 with a $300,000 AGI limit and makes it refundable. **For 2027 figures, cite the statute, not the DOR page.**
- **The HB26-1289 fiscal note of 12 June 2026 says the credit can be carried forward five years.** The enacted text says the opposite — excess "may not be carried forward and is refunded." The fiscal note describes a version that did not survive. **Enacted text wins.**

Two things that are frequently confused

THE CREDIT IS NOT THE SUBTRACTION

Colorado ran a separate **income tax subtraction** for the same work — 50% of costs for 2020–2024, capped at $2,500 or federal taxable income, whichever was less, and only for property inside a **wildland-urban interface area**. Different form (DR 0104AD), and **finished**: 2024 was the last year. It only comes up now on an amended old return.

THE CREDIT HAS NO WUI TEST

The dead subtraction required the property to sit in a wildland-urban interface area. **The credit does not** — the statute says real property located in Colorado. Do not tell a homeowner they are outside the zone.

THE 2026 INCOME LIMIT

Not published yet — the Department of Revenue table lists it as TBD. If a homeowner asks, **the honest answer is that the state has not announced it.** The 2027 figure is set in statute and can be named.

FTI = federal taxable income. Source: Colorado Department of Revenue, *Income Tax Topics: Wildfire Mitigation Measures*; C.R.S. 39-22-543 as amended by HB26-1289. Not tax advice.

SHEET 5 OF 7 · THE CLAIM

How a homeowner actually claims it

There is no application, no waiting list, and no state office to call. It is two forms and a stack of receipts, filed with their ordinary Colorado income tax return. Steps 1 to 3 are ours. Steps 4 to 6 are theirs.

1 **We establish who is claiming, before the work starts**
Form A, filled in at the walk. Owner of record, ownership type, which single person in the ownership group is claiming, and — the one that catches people — whether any grant, cost-share, incentive or insurance payment is covering part of the bill.

2 **We put the scope in writing, then do the work**
Exactly what is coming out and what is staying, agreed before a saw starts. Photographs from fixed positions before and after, logged on Form D.

3 **We invoice it so the categories are visible**
Form B. Qualifying mitigation work itemised and totalled separately from anything on the same job that is not mitigation. Nobody should have to guess which line is which in April.

4 **They pay, and the date of payment sets the tax year**
The credit is based on out-of-pocket expense *incurred and paid* in the tax year. Payment date, not work date, and not invoice date.

5 **They complete the Individual Credit Schedule with their return**
DR 0104CR, the Individual Credit Schedule, submitted with **DR 0104**, the Colorado Individual Income Tax Return. Both are on the state's individual income tax forms page.

6 **They attach copies of the receipts**
Required, not optional. Either filed on paper with the return, or uploaded using the **E-Filer Attachment** function in Revenue Online. Copies of receipts documenting the actual out-of-pocket expense.

THE TWO FORM NUMBERS, SO NOBODY HAS TO LOOK THEM UP AT A DOOR

DR 0104	Colorado Individual Income Tax Return — the return itself
DR 0104CR	Individual Credit Schedule — where this credit is claimed
DR 0104AD	Subtractions from Income Schedule — the *old* subtraction, tax year 2024 and earlier only

What Sixfold hands over, every job, whether or not they ask

- An **itemised invoice** separating qualifying mitigation work from anything else on the job
- A **written scope** naming the measures performed and the standard the crew worked to
- **Before-and-after photographs** from fixed positions, with the log sheet
- The **claim file checklist** (Form C) so they know what to give their accountant

One document set. It serves the tax return and the insurance file at the same time — under HB25-1182, in effect since 1 July 2026, a Colorado insurer using a wildfire risk score has to disclose that score annually and count documented mitigation in how it underwrites and prices the property.

WHAT WE DO NOT DO AT STEP 5 OR 6

We do not fill in DR 0104CR. We do not upload anything to Revenue Online on a customer's behalf. We do not tell a homeowner what they will receive. **"We handle the paperwork for you" is a banned phrase** — what is true is that we supply the documentation, and their accountant does the rest.

Source: Colorado Department of Revenue, *Wildfire Tax Benefits* and *Income Tax Topics: Wildfire Mitigation Measures*. Not tax advice.

SHEET 6 OF 7 · CREW BRIEFING

What Sixfold may say, and what it may not

The credit is the best door opener available and the fastest way to make a promise the company cannot keep. Applies to conversation, print, and anything typed into a profile.

Say this

- "Colorado has an income tax credit that covers **100% of what you pay a contractor** for this kind of work, up to $1,000 this year."
- "**About 450 people in the whole state** claimed it last year. The state surveyed landowners to find out why, and fewer than half had heard of it."
- "For work paid for in 2027 the cap doubles to $2,000 and it becomes refundable."
- "**There is no application and no waiting list.** It is claimed on your state return, with the receipts attached — and every job we do comes with an itemised invoice and before-and-after photographs, because that is what your return and your insurer both want."
- "**Whether you qualify is a question for your accountant**, not for me. I can tell you what the programme says."
- "Since July this year your insurer has to tell you your property's wildfire risk score in writing every year, and count the mitigation you can document in how they price it."

Never say this

- **"The state pays for your mitigation."** It reimburses up to a cap, on a return, subject to income limits, and only for vegetation work.
- **"You'll get $1,000 back."** Through 2026 the credit cannot exceed what they owe. We do not know what they owe.
- **"We handle the paperwork for you."** We supply documentation. We do not prepare returns.
- **"We're on Douglas County's list," or stacking its cost-share with the credit.** Sixfold is not on the county's preferred list, though residents may use any qualified contractor. Grant-funded costs do not qualify for the credit.
- **"Licensed and insured," "certified," "Firewise."** None of it is true yet. Covers profile bios and print, not just speech.
- **Any percentage figure for the insurance discount**, or **a price range for the job**. The law requires a discount but sets no rate, and Sixfold has not yet priced its own completed work. Both figures would be invention.
- **"Wait until 2027, it's worth twice as much."** That advises deferring fire mitigation for a tax reason, in a bad fire year, against the homeowner's own interest. Lay out the difference and let them decide.

IF A HOMEOWNER PUSHES FOR A NUMBER

They will. The answer is the same every time: **"I can't tell you what you'll get back — that depends on your return, and I'd be guessing. What I can do is make sure you have the invoice and the photographs your accountant needs."** Guessing high to close a job creates a customer who is owed an explanation next April.

THE HONEST FRAMING OF THE WHOLE THING

Sixfold cannot out-credential a veteran-owned outfit with certified sawyers. It can be the one that turns up knowing where the money is. That is the whole proposition until the certifications exist — so the documentation has to be genuinely good, and the claims about it genuinely narrow.

Prohibitions here are standing project rules, not guesses. "Licensed and insured" lifts only when the underlying fact changes. The county cost-share rule was revised 2 October 2026.

SHEET 7 OF 7 · PROVENANCE

Where every number on these sheets came from

Read in full, first-party, on 19 and 21 August 2026. If a figure here is challenged, this is the list to go back to.

Primary sources

SOURCE	WHAT IT ESTABLISHES
C.R.S. 39-22-543, as amended by HB26-1289 (enacted Final Act read in full)	2027–2030 cap of $2,000; $300,000 AGI limit, indexed (the cap is not); refundable from 2027, not before; the beetle-infestation category; repeal moved to 2040; same cap single or joint.
Colorado Department of Revenue, *Income Tax Topics: Wildfire Mitigation Measures*	The year-by-year credit table; the four qualifying measures and the CSFS/DFPC standards test; the non-qualifying list; ownership and one-claimant rules; DR 0104CR + DR 0104 + receipts.
Colorado Department of Revenue, *Wildfire Tax Benefits*	Confirms the claiming route for the credit and the retired subtraction, and the Revenue Online E-Filer Attachment option.
Colorado General Assembly 2026 tax expenditure evaluation (2026-TE4), and **HB24-1036** via it	~450 claims in tax year 2023; $200,000 to 457 landowners; the awareness survey — 360 responses, fewer than 50% aware, over 70% saying landowners are generally unaware. And: since August 2024 only costs paid to a third-party provider qualify.
Colorado HB25-1182, effective 1 July 2026	Annual written notice of the score and applicable discounts; property- and community-level mitigation incorporated into underwriting and pricing; a discount where the insurer does not incorporate it; a right to request a revised score.

Corrections carried by this notebook

- **"Thinning woody vegetation was added as qualifying work in 2027."** Wrong, and it overstates the change in Sixfold's favour. Corrected in *research/fire-mitigation-market-research.md*, *marketing/marketing-plan.md* and *marketing/funding-one-pager.md* on 2 October 2026.
- **Non-refundability through tax year 2026 is missing** from the market research file and the marketing plan entirely. It is the single most likely thing to disappoint a customer.
- **The HB26-1289 fiscal note's five-year carry-forward.** Describes a version that did not survive. The fiscal note is not a safe source for this bill.

Still open

- **The 2026 federal taxable income limit.** Not published. The DOR table says TBD.
- **Whether "adjusted gross income" in the 2027 provision means federal AGI.** The statute says AGI where the earlier subsection says federal taxable income — a different number for some filers. Worth an accountant's read.
- **Whether entity-owned land still qualifies from tax year 2026.** DOR guidance describes a narrow pass-through route; the 2026 evaluation indicates eligibility narrows to individuals. Do not advise either way.
- **Douglas County's contractor list — answered 2 October 2026.** Preferred, not required: "residents may choose any qualified contractor." Sixfold is not on it, and the 2026 round is closed.

> REVISION DISCIPLINE
>
> The credit changes materially on **1 January 2027** and the Department of Revenue page is already behind the statute. Re-read both before the 2027 filing season and re-date this notebook. A figure on a printed sheet in a binder carries no expiry warning.

Version 1.1, 2 October 2026 (figures as of 21 August, Douglas County re-checked 2 October). Nothing here is tax advice — it describes published Colorado programme terms and points the reader to their own accountant, which is the only thing Sixfold is in a position to do.